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Artificial intelligence (AI) governance in organizational decision-making: balancing autonomy, accountability and transparency

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Abstract

Purpose – This study aims to investigate the ethical and practical implications of delegating decision-making to AI systems, focusing on the necessity for a robust governance framework. Specifically, it examines how autonomy, transparency and accountability within AI governance influence organizational decision-making.

Design/methodology/approach – Employing a quantitative survey methodology, this study gathered data from 452 business owners and managers in Indian IT companies. The questionnaire was disseminated using online platforms and departmental communication channels. Structural equation modelling (SEM) was utilized for data analysis, allowing for the examination of relationships among autonomy, transparency, accountability and decision-making.

Findings – The findings indicate that autonomy, transparency and accountability significantly impact organizational decision-making processes. Specifically, autonomy and accountability were found to directly influence decision-making, while transparency also played a crucial role. Additionally, social innovation was identified as a significant moderating factor, enhancing the relationship between AI governance and decision-making outcomes.

Originality/value – This research contributes to the existing literature on AI governance by elucidating the critical role of ethical frameworks in organizational decision-making. By incorporating social innovation as a moderating variable, the study offers novel insights into how AI governance can be optimized to enhance decision-making processes. The application of SEM provides a rigorous analytical approach, facilitating a deeper understanding of the interplay between governance dimensions and decision-making outcomes. The findings have practical implications for organizations seeking to implement effective AI governance strategies in their operations.

Keywords Artificial intelligence, Structural equation modelling, Decision-making,
Business owners and managers

Paper type Research article

1. Introduction

Artificial intelligence (AI) can be utilised extensively in business operations to automate decision-making, handle client relationships, and process automation. AI comprises the capacity to reason, learn and adapt (Chen *et al.*, 2023). According to a 2019 poll conducted by reputable research and advisory firm Gartner, the usage of AI in corporate operations increased by 270% during the preceding four years. Global AI spending was $37.5 billion in 2019 and is

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projected to reach $97.9 billion by 2023 (International Data Corporation, 2019). AI knowledge is developing at a tremendous pace, causing revolutionary changes in several industries and having a significant impact on corporate decision-making processes. Businesses looking to maximise AI's potential while reducing related dangers are increasingly focusing on AI governance, which includes the frameworks, rules and norms that supervise the morally and responsibly deploying AI systems (Papagiannidis *et al.*, 2023). Strong governance frameworks are necessary as businesses incorporate AI more and more into their operations to make sure that AI applications adhere to moral principles, legal obligations and corporate values.

Although the challenges in designing decision-making structures embracing the human actors are fairly well comprehended, the recent rise of decision-making by AI algorithms introduces a new set of challenges to this age-old problem (Shrestha *et al.*, 2019). By integrating large data sets of vigorous patterns, especially AI and machine learning algorithms enable the new information and creation of predictions from data. The agreement of accurate, fast, accurate and repeatable, and low-cost decisions, with quality approaching human-like intelligence, has been an important driver of the rapid development (De Almeida *et al.*, 2021).

The ability of AI governance to strike a balance between innovation and accountability makes it important for corporate decision-making (Hohma *et al.*, 2023). Organizations can gain a competitive edge by utilising AI's capabilities to improve efficiency, accuracy, and strategic insights through the implementation of effective AI governance frameworks. Organizations can cultivate an atmosphere where AI-driven choices are viewed as equitable, transparent and in line with societal norms by implementing transparent governance procedures. These mechanisms can be trusted by owners, managers and regulatory agencies, among other stakeholders (Formosa, 2021). The significance of interdisciplinary collaboration, constant learning and adaptability is emphasized by emerging best practices in AI governance. To monitor AI activities, organizations are progressively establishing explicit accountability frameworks, holding frequent audits and establishing AI ethics boards. Additionally, the necessity of continual education and training programs to give staff members the abilities they need to handle the intricacies of AI governance is becoming increasingly apparent (Balasubramaniam *et al.*, 2023; Felzmann *et al.*, 2020). The governance rules governing the application of AI technologies must also advance with the technology, calling for a flexible approach that can adapt to new legal and ethical requirements.

The degree to which AI systems can function without human intervention is central to the idea of autonomy in AI governance (Schmidt *et al.*, 2020). While more autonomy might promote efficiency and creativity, it also creates questions about supervision and control. Companies need to be very careful when defining AI autonomy's bounds to avoid situations where automated actions might have unexpected effects. In industries like finance, healthcare, and legal services, where AI-driven choices can have significant effects on stakeholders, striking this balance is essential (Cheong, 2024a). The cornerstones of AI governance that ensure the moral and responsible application of AI technologies are accountability and transparency. To find and fix biases or mistakes in AI decision-making processes, accountability systems are required (Tóth *et al.*, 2022; Novelli *et al.*, 2023).

This entails creating audit trails to monitor and examine the decisions made by AI systems, as well as clearly defining who is responsible for what. Conversely, transparency entails providing all stakeholders with an understanding and an accessible way to participate in how AI systems make decisions. In addition to fostering trust, this guarantees that systems of AI are applied in a method that is compliant with organisational values and social norms. In conclusion, creating a successful AI governance framework necessitates a careful strategy that strikes a balance between responsibility, transparency and autonomy (Zhang and Zhang, 2023; Liu, 2021).

Even though AI technologies are being increasingly integrated into the IT industry, little is known about how AI governance, more especially, how autonomy, accountability and transparency, affects organizational decision-making processes. AI is a reality that is

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transforming the IT industry in extreme ways. AI has revolutionized the IT industry by automating routine tasks to anticipate trends and making decisions based on data-driven insights. It has empowered the smart applications development that can comprehend, predict, learn and potentially function independently (Dixit *et al.*, 2024). This disparity emphasizes the necessity of conducting a thorough analysis of the association between social innovation and AI governance to enhance the IT industry's decision-making procedures.

The study's main objective is to investigate how AI governance, including accountability, transparency and autonomy, affects corporate decision-making. It also looks at how organizational decision-making in the IT industry and AI governance (autonomy, accountability and transparency) are moderated by social innovation.

RQ1. Does AI governance (autonomy, accountability and transparency) have a sustainable influence on organizational decision-making?

RQ2. Does social innovation moderate the relationship between AI governance (autonomy, accountability and transparency) and organizational decision-making in the IT sector?

The remaining sections include: The theoretical framework for the investigation and the formulation of the study's hypotheses are covered in Section 2. The research and sampling techniques, and the usage of SEM analysis as an analytical tool, are followed in Section 3. The tool and process for gathering data and the data analysis methods utilized for the study are enclosed in Section 4. The discussion of the outcomes and their implications, the study's limitations and suggestions for further research are included in Section 5's conclusion.

2. Literature review

This section provides a review of AI governance in decision-making using the variables autonomy, accountability and transparency, and the pertinent literature that helped build the hypothesis for this investigation. A review of related works has been provided in Table 1.

2.1 Related works

Esmaeilzadeh (2020) examined how customers perceive the benefits and hazards of AI medical devices with clinical decision support (CDS) characteristics. They utilized an online poll to gather information through a sample of 307 people in the USA. They recognise patient incentives and pressure in developing AI-based products. As a result, they employed IBM SPSS AMOS for data analysis to evaluate theories utilizing a structural equation modelling (SEM) method. They discovered that the perceived risks of AI in healthcare are significantly impacted by technological, legal, and regulatory factors.

Cao *et al.* (2021) analysed positive and negative aspects influencing managers' attitudes and intent to use AI. They surveyed 269 UK company managers for the research. Their research contributes both conceptually and experimentally to the growing body of work on using AI in corporate decisions. By using PLS-SEM, the predictions were empirically confirmed. Therefore, the results showed that IAAAM is a more comprehensive model to forecast managers' behavioural intentions and attitudes regarding AI.

Keding and Meissner (2021) investigated the perception of overreliance on AI-augmented decision-making. To find out how top executives felt about AI-enhanced decision-making on a personal level, the researchers ran a decision-making experiment with 150 of them. The data from the research were analysed by ANOVA. The study discovered that using AI-based advising systems influences choosing behaviour and improves the sense of decision quality.

Rana *et al.* (2022) identified how AI-BA opacity, suboptimal business decisions, and perceived risk contribute to a firm's operational inefficiencies and competitive disadvantage. Three hundred and fifty-five operational, middle-level and higher-level executives from various service sectors and sizes in India provided the data. They discovered that inadequate

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Table 1. Review of related works

Reference	Purposes	Keywords	Sample	Analysis	Outcomes
Esmaeilzadeh (2020)	To examine how customers perceive the hazards and benefits of medical devices in AI with the characteristics of clinical decision support	AI medical devices; artificial intelligence; clinical decision support: perceived benefits	Data was gathered from 307 respondents in the USA	SEM Approach	The perceived hazards of deploying AI in healthcare are heavily influenced by technological, ethical (trust) and regulatory considerations
Cao *et al.* (2021)	To analyse positive and negative aspects influencing managers' attitudes and intent to use AI.	Artificial intelligence Organizational decision-making; AI adoption	Data from 269 UK company managers	PLS-SEM approach	IAAAM managers' attitudes significantly influence behavioural intentions toward AI.
Keding and Meissner (2021)	To investigate the perception of overreliance on AI-assisted decision-making	AI-assisted decision-making, appreciating algorithms, and strategy	Data collected from 150 top executives	ANOVA	AI-powered advising systems have a favourable impact on decision quality perception and choosing behaviour
Rana *et al.* (2022)	To determine how a firm's perceived risk, poor business decisions and AI-BA opacity affect its inefficiencies in operations and competitive downturn	Business analytics, artificial intelligence and the competitiveness of the company	Information from 355 middle-level, senior and operational managers	SEM approach	Firms' operational inefficiency negatively affects sales growth and employee dissatisfaction
Bokhari and Myeong (2022)	To examine the association between AI, SI and SDM, both directly and indirectly	Artificial intelligence, social innovation, smart decision-making, smart cities	Data from 437 participants in South Korea and Pakistan	Multiple Regression Analysis	There is a strong, optimistic correlation between intelligent decision-making and artificial intelligence, both directly and indirectly
Yu and Li (2022)	To look at how the trust of the people in systems of AI is affected by decision-making openness	Trust, effectiveness, AI decision-making transparency and discomfort	A total of 235 participants from China	ANOVA analysis	Perceived transparency between employees influences their trust in AI
Cui *et al.* (2022)	To examine how artificial intelligence affects corporate governance through its mechanisms and intermediaries	Corporate governance, artificial intelligence, information symmetry and influence methods	Chinese A-share listed companies	Regression analysis	Corporate governance is impacted by artificial intelligence through the creation of information symmetry

(*continued*)

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Table 1. Continued

Reference	Purposes	Keywords	Sample	Analysis	Outcomes
Ahmad *et al.* (2023)	To analyse how AI affects decision-making, laziness and privacy among university students	Artificial intelligence; decision-making; laziness	Data were gathered from 285 students from Pakistan and China	Smart-PLS	Data analysis showed that AI significantly impacted human decision-making and laziness
Caiza *et al.* (2024)	To explore the integration of artificial intelligence into public administration and government decision-making in politics	Government decision-making, artificial intelligence, PRISMA	Through a comprehensive literature review of governmental decision-making and artificial intelligence (AI)	PRISMA methodology	The applications of the current research on the AI implications of practical, social and ethical issues in government to assure the inclusive and responsible AI-driven public services adoption
Kojouri (2025)	To strategically manage the artificial intelligence (AI) function for transcendent governance	Transcendent governance, artificial intelligence and strategic management of artificial intelligence implementation	187 relevant articles and books, and through the samples from 10 government officials in public administration	AHP-SWOT approach	The informed decision-making adopting is predicted on rationality and logic as a superior strategy has significant potential for enhancing transparency and democracy in governance

Source(s): Table by authors

training for key workers, poor quality data, and inadequate governance all have contributed to AI-BA opacity. Operational inefficiency leads to negative sales growth and staff unhappiness, putting a firm at a competitive disadvantage. The study found that contingency plans had a strong moderating influence on the nomological chain.

Bokhari and Myeong (2022) explored the direct and indirect links between AI, SI and SDM. Through questionnaires for the survey, 437 people in Pakistan and South Korea provided cross-sectional data. Using SPSS multiple regression models, the results of the hypothesis were analysed. The analysis of a mediating factor's impact on decision-making added to the body of knowledge in the social scientific literature. Accordingly, SI significantly strengthens the mediation impact between effective decision-making and AI.

Yu and Li (2022) investigated how the transparency of AI decision-making influences human trust in AI systems. They also looked into the cognitive and affective aspects of how people's confidence in AI is impacted by transparency in AI making choices. Online recruitment was used to find 235 individuals with previous work experience to finish the experiment vignette. To assess transparency vs. non-transparency, an ANOVA with a one-way design was employed. They discovered that the association between decision-making using AI transparency and trust was mediated by employees' perceptions of openness, efficacy and uncomfortable with AI.

Cui *et al.* (2022) examined how AI affects corporate governance through its mechanisms and intermediaries. They used balanced data panels from 2011 to 2020 from A-share listed

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companies in China. The CSMAR data served as the main source of empirical analysis. They demonstrated how corporate governance may be significantly impacted by AI applications, with larger AI concentrations producing more favourable results. Technologies based on AI can progress the governance of companies by providing decision support and boosting information symmetry. Information symmetry is one way that AI affects corporate governance.

Ahmad *et al.* (2023) analysed how AI affects decision-making, laziness and privacy among university students in Pakistan and China. Their study employs a qualitative technique and analyses data using PLS-SEM. A total of 285 students from Chinese and Pakistani institutions provided the data. A representative group from the population was chosen using the purposive sampling approach. Data analysis indicated that AI reduces human decision-making and increases laziness. It also affects security and privacy. AI has been linked to 68.9% of human lethargy, 68.6% of privacy and security concerns, and 27.7% of decision-making loss in Pakistani and Chinese societies.

Caiza *et al.* (2024) explored the AI integration into government decision-making is widely gaining traction in politics and public administration. In this study, they conducted a systematic literature review concentrating on the combination of governmental decision-making and AI. For the review, they conducted a methodological rigour, using the PRISMA method. From the findings of the review, they emphasized the applications of the current research on the ethical, practical and social implications of AI in government to assure the inclusive and responsible AI-driven public services adoption.

Kojouri (2025) conducted a study to strategically manage the AI function for transcendent governance. The data of the study were collected using a systematic review of 187 relevant articles and books, and through the samples from 10 government officials in public administration who had authored works in this domain. They analysed the data based on open coding and by utilizing the AHP-SWOT approach. From the results, they revealed that the informed decision-making adopting is predicted on rationality and logic as a superior strategy has significant potential for enhancing transparency and democracy in governance.

2.2 Theoretical background

2.2.1 Principal-agent theory and stakeholder theory. To explore the hypotheses related to AI governance and its impact on organizational decision-making, we can delve into the principal-agent theory and stakeholder theory.

(1) **Principal-Agent Theory**: This theory focuses on the connection between the principal (shareholders) and the agent (managers), highlighting the delegation of tasks and the agency costs associated with monitoring due to information asymmetry. The informational approach to transparency aligns with the principal-agent theory, where the principal, who delegated certain tasks to an agent, needs to obtain information to check if the agent holds up their part of the contract (Kelembagaan and Eisenhardt, 1989). By doing so, the principal can reduce the likelihood of problems such as adverse selection or moral hazard (Tielenburg, 2018). Under the principal and informational-agent perspective, transparency mediates a lot of positive consequences, such as facilitating accountability, supporting autonomy, fostering trust and allowing a greater level of control. This research aims to find that transparency may impact the decision-making process.

Accountability as a mechanism includes the transfer of information from the agent to the principal, the possibility for the principal to ask further questions, to pass judgment and to impose positive or negative consequences on the agent (Bovens, 2007). Therefore, it involves observing efforts also the agent's incentives to behave according to the demand of the principal, although he might risk being faced with not obtaining rewards or sanctions.

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During intervals of heavy load, input control is a generic procedure for smoothing production workload by delaying work. From the perspective of principal-agent theory, input control is the collection of significant bonding arrangements that restrict the agent's ability to make decisions (Heymann, 1988a). Thus, input control limits the public agency's managerial independence (Verhoest, 2005). Reducing the degree of input control or raising management autonomy may improve the public agency's "performance" since it gives it more power to determine the best combination of inputs to use to achieve the desired outcomes (Figure 1). This study tends to find that autonomy in AI governance may impact the decision-making process.

(2) **Stakeholder-Agent Theory**: Accountability has been broadly defined by Bovens (Heymann, 1988b) as the relationship between an actor and the group (e.g. society) to which the actor holds an obligation to justify their conduct. It is what makes it possible to assess how well a stakeholder performed in their free choice to divulge information about their activities. Wieringa (2023) has transferred this concept to algorithms, determining five key elements of algorithmic accountability: (1) the responsible actors, (2) the forum to whom the account is directed, (3) the relationship of accountability between stakeholders and the forum, (4) the criteria that are to be fulfilled to reach sufficient account and (5) the consequences, good or bad, for the accountable parties. Accountability, responsibility and the capacity to justify or explain the actions performed to meet it, therefore, have two underlying elements. In the domain of AI, the latter, argumentation, in particular, leads to issues. During the creation, development, and implementation of AI systems, different stakeholders need to be defined as accountable for possible formal or informal, good or bad consequences of the technology (Olson, 2000). Explanations of the decisions made by the stakeholders, but also regarding the outputs of the AI system, are inevitable to ensure full accountability distribution (Wieringa, 2020). The system's capacity for transparency and comprehensibility is thus correlated with explanations. This

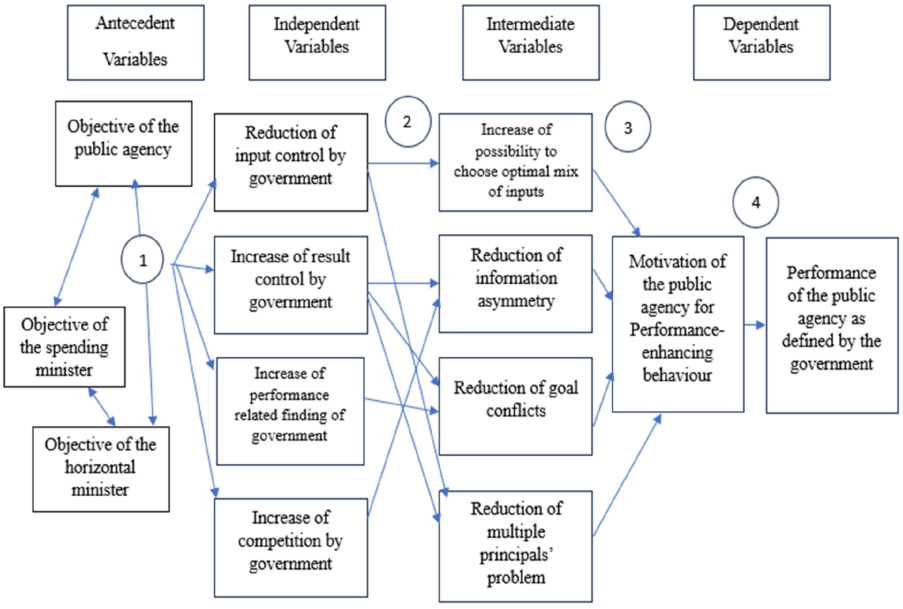


Figure 1. Theoretical model of principal-agent theory in autonomy. Source: figure by authors

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stakeholder agent theory aims to make voluntary decisions with accountability. This investigation aims to find the AI governance effect in the decision-making process with balanced autonomy, accountability and transparency. Figure 2 illustrates the framed hypothesis, which is based on the principal-agent theory, stakeholder agent theory and existing theory.

2.3 Hypothesis development

Based on the above theories and existing studies, the hypothesis is developed below.

2.3.1 Autonomy and organization's decision-making process. The subsidiary's ability to operate freely and pursue strategically important possibilities, such as developing relationships with outside partners, is made possible by autonomy. This, however, creates the risk that these subsidiaries become stand-alone units disconnected from the MNE network, a challenge referred to as dual embeddedness (Laitinen and Sahlgren, 2021) or the innovation-integration dilemma. This difficulty stems from the organizational conflicts that are specific to multinational enterprises (MNEs), which are brought about by the subsidiary's requirement to both integrate into the MNE's internal network and respond to local conditions. When a subsidiary has too much autonomy, it may become peripheral and attract rent-seeking behaviour from its management, as well as other negative effects, including internal isolation and a lack of communication and identity. The risks associated with autonomy without integration have been summarised by Calvo *et al.*, (2020). "In the absence of an integration process, decentralized entrepreneurship may lead to some temporary performance improvement as existing slack is harnessed, but long-term development of new capabilities or businesses is seriously impeded". Lack of decision-making autonomy may be suboptimal for subsidiary product innovation, yet very high levels of autonomy may be harmful as well (Aghion and Tirole, 1997). Ryan and Deci (2004) view autonomy as a sense of willingness and volition in acting (Smitheram, 1977) that is or would be "endorsed by the self". Critically, according to this definition, autonomy involves acting under one's goals and values, which is distinct from the use of autonomy as simply a synonym for either independence or being in control (Soenens *et al.*, 2007).

The automation to autonomy conversion in the processes of HR marks a remarkable shift in the organizations management of their workforce. The Human Resource management

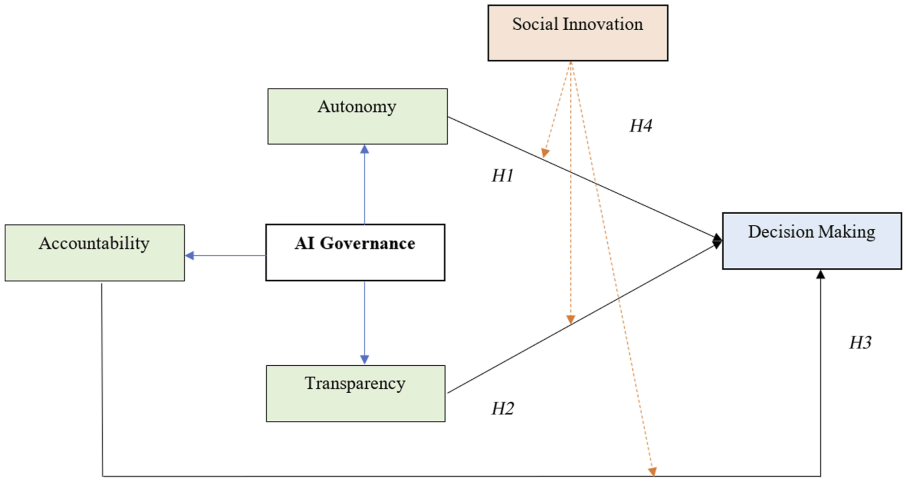


Figure 2. Conceptual framework. Source: figure by authors

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evolution has observed a basic from traditional manual processes to automated solutions shift powered by AI. With their comprehensive suite of AI capabilities, the software applications, such as Oracle HCM Cloud, provide organizations a pathway to increase their processes through automation and eventually autonomy (Rodriguez, 2024). The systems are transitioning from simple automation to more advanced autonomous operations, due to the evolution of AI technology. It concentrates on repetitive tasks, although autonomy initiates decision-making capabilities of intelligence, where systems can independently analyse data and deliver the outcomes. The shift is not only about efficiency but also about enhancing it to become a strategic function that contributes directly to the goals of the organizations (Khair *et al.*, 2025). The following hypothesis results from this discussion:

H1. Autonomy has a sustainable influence on an organization's decision-making process.

2.3.2 Transparency and the organization's decision-making process. Transparency is one of the significant factors in building sustainable and successful companies under vast changes and enhancing challenges in the work environment of modern companies. It is worried about the disclosure of information, clarity of objectives, and involvement of employees in decision-making, which increases the trust levels within the company and generates a positive work environment. Transparency has only lately emerged as a widespread demand in public discourse. According to Wehmeier and Raaz (2012), many scholars may discern transparency as a solution for the escalating criticism aimed at corporations in society, neglecting the negative facets of openness. Hohmann (2021), explained that, by transparency companies can provide sufficient information in a specific, accurate, effective and appropriate manner to acquit them and other key parties, such as policymakers in the company, and enhance them to act in the management of owners and in an acceptable manner to empower them in the community (Alali and Nomas, 2025).

Users may modify the data they provide to enhance the outputs of recommendations when there is a transparent system in place. Algorithm users can understand the logic of the recommendation system (Ghoshal and Bartlett, 1995). To gain users' confidence, algorithm providers work hard to guarantee the validity and accuracy of their results. Together, transparency, fairness and accuracy play critical roles in algorithm services by improving user trust in algorithms (Shin, 2020). Users are inclined to see news sources with greater confidence when they are assured that they provide transparent, equitable and truthful services. A high degree of transparency in algorithms can provide users with a feeling of customization. Users who get fair and responsible news are given a sense of trust, which encourages user pleasure and repeat use. Users must be aware of and comprehend how and why a certain suggestion is made. Strong visibility and transparent feedback for pertinent information enhance search efficiency and recommendation system decision-making. The work of Zhang *et al.*, (2016) confirms a causal relationship between explainability and assurance in the context of algorithm services. This discussion leads to the following hypothesis:

H2. Transparency has a sustainable influence on an organization's decision-making process.

2.3.3 Accountability and the organization's decision-making process. Accountability in the decision-making of an organization assures that individuals are in charge of the choices they make and their outcomes. The structures of clear accountability, integrated with effective decision-making processes, lead to improvement in business outcomes (Llewellyn, 2002). It involves defining who is responsible for which decisions, ensuring transparent communication and evaluating outcomes against agreed-upon metrics. Roberts claims that their hierarchical accountability systems powerfully reinforce instrumentality and individualise accountability (Lindkvist and Llewellyn, 2003). Accountability for AIs' behaviour should be distributed according to the network of technological and social inputs (Kaminski and Malgieri, 2020). Accountability rules, both proactively and reactively, introduce oversight and transparency mechanisms throughout the lifecycle of AIs and thus

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play a central role in fostering (public) trust in AI (Fjeld and Spernes, 2023). Accountability can thus be "a powerful tool for motivating better practices and consequently more reliable and trustworthy systems". For this reason, she argues, accountability should be encouraged not only for "life-critical systems", but even for more minor malfunctions causing individual losses of time, convenience and contentment (Nissenbaum, 2004). Similarly, (Reed and Rose, 2018) note that accountability requirements may not be aimed at resolving legal liability questions but rather at reassuring the public, for example, that self-driving technology has been developed with public safety in mind, and in a way that allows problems to be identified and rectified, though of course as they and Nissenbaum discuss, accountability can provide a reasonable starting point for punishment or compensation. This feature of responsibility is what makes it so important in the plan that has been devised. Due to allegations of discrimination against women, Amazon withdrew its AI-powered recruiting tool in 2018, highlighting the significance of accountability and fairness in AI enrolment systems. Newer studies, such as those by (Sareen, 2024), delve into the intersection of AI and competition law. Sareen explores the role of explainability in identifying and addressing anti-competitive AI practices, emphasizing the need for enhanced transparency and algorithmic accountability to ensure fair competition (Loconto *et al.*, 2024). This discussion leads to the following hypothesis:

H3. Accountability has a sustainable influence on an organization's process of decision-making.

2.3.4 Social innovation moderates AI governance and the organization's decision-making process. Social innovation signifies the "penetration of business ideas, management practices, and market principles into the world of non-profits and government" (Phills *et al.*, 2008). The way social actors connect and their government for decision-making might be significantly impacted by AI. AI is a powerful instrument to help municipal governments make policies and decisions more efficiently by incorporating stakeholders through social innovation, even though it is not the only problem of the solution arising between government and stakeholders. Implementation of AI in social innovation may also indicate how the city government can provide a stimulus to other evolving digital devices for decision-making (Mehr *et al.*, 2017). Several researchers emphasized the influence of AI on social innovation (Dargham and Hachimi, 2021), the impact of social innovation on smart decision-making (Gibson-Graham and Roelvink, 2016), and the overall impact of AI on smart decision-making (Duan *et al.*, 2019), structural equation modelling of mediation and moderation with contextual factors. Further, Little (Little *et al.*, 2007) argued in their study that some direct relationships depend on contextual factors, so we tried to investigate the mediation impact of contextual variables: social innovation between corrected independent and dependent variables.

The data generation usage in AI is feasible in private and government entities, examining new methods to comprehend our world. The big data availability may be effective in the optimum usage of resources, further making informed decisions (Alam *et al.*, 2014). IoT has a significant impact towards smart decision-making. Nowadays, AI is becoming an essential need for organizational procedures and daily life as technology has taken great strides in AI advancement empowerment (Raisch and Krakowski, 2021). As a considerable dimension, this variable emphasizes collaboration among the stakeholders, the government, the community and other stakeholders that contribute to the decision-making process. AI has more capacity for government interaction for decision-making, and it affects the way social actors engage themselves. The implementation of AI in social innovation may also show how the government can contribute a stimulus to other evolving digital devices for decision-making (Bokhari and Myeong, 2022). This study may formulate the hypothesis as follows:

H4. Social innovation moderates AI governance (autonomy, transparency and accountability) and the organization's process of decision-making.

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3. Research methodology

The study utilized a quantitative methodology, gathering personal data from Indian IT managers and owners who represent the current research population. It was decided to do a quantitative analysis on "Artificial Intelligence (AI) Governance in Organisational Decision-Making: Balancing Autonomy, Accountability, and Transparency".

3.1 Data collection

In the present investigation, the quantitative research approach is used. At the Indian IT organizations chosen as the research site, a cross-sectional survey technique was employed in this investigation. Before being sent to the respondents, the questionnaire was converted using Google Docs into an online form. Surveys were disseminated via the departmental WhatsApp group and the institutional email accounts of the owners and managers of the businesses. The statistical population of the research comprised 532 Indian managers and company owners. Based on the largest population, this study's data-collecting approach was purposive sampling. To gather data, the researcher visited every selected IT organization during a scheduled period. A total of 452 questionnaires were gathered and examined since some of the replies were repeats or ineligible. Managers and business owners made up the study's participants. Male responses made up more than half (61.97%). 20–30 years old (26.89%) and 31–40 years old (32.79%) comprised large proportions of the responder population. The respondent's three highest levels of working experience were less than 5 years (28.20%), between 5 and 10 years (26.89%), and eleven to fifteen years (21.97%). The majority of responders, who came from undergraduate programs (61.97%), were permanent employees (68.85%). A full data set of 452 participants (63.48% of the replies) was obtained out of 712 possible responders.

3.2 Instrument measure

Demographic information, such as age, gender, number of years of experience and position within the company, is included in the survey questions. In India, IT managers and owners are surveyed using the Likert scale. A five-point Likert scale—which includes the options (1-Strongly Disagree, 2-Disagree, 3-Neutral, 4-Agree, and 5-Strongly Agree) is used to assess social innovation, AI governance, and organisational decision-making. Statistical techniques for impact and relationship analysis. The current status of AI governance practices is described by descriptive research, and the linkages between autonomy, accountability and transparency in AI governance are investigated through exploratory research. To present a comprehensive knowledge of incorporating AI into information technology (IT) governance frameworks, this study uses quantitative research methods. Table 2 shows various variable measures, which include autonomy, transparency, accountability, social innovation and decision-making.

3.3 Analysis tools

The two-step procedure suggested by Anderson and Gerbing (1988) was applied to test hypotheses. In the initial phase, convergent and discriminant validity were assessed by the researcher to consider the outer model to ensure component reliability as well as validity. Next, by using the inner model, the path coefficient and theories were evaluated. Certain assumptions regarding the connections between the constructs are tested using the inner model. For instance, you might hypothesise that "AI governance positively influences decision-making". Second-generation structural equation modelling, a well-liked and extensively applied analysis method, was utilized to examine two-step processes. Partial least squares structural modelling is more resilient to distributional as well as multicollinearity variation in indicator attributes than covariance-based SEM. Partial Least Squares can get beyond these two drawbacks of multiple regression since it is nonparametric. It is appropriate in cases when the data is non-normal and flexibly covers a wide range of study factors. Furthermore, since PLS-SEM gets rid of two major problems – inadmissible solutions and

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Table 2. Variables measure

Variable	Reference
AUTONOMY AU1: I feel that the autonomy level of AI in decision-making increases AU2: I accept that autonomy in AI governance helps us make decisions faster AU3: I think granting autonomy to AI systems enhances the efficiency of our decision-making	Cummings, (Autio *et al*., 2023)
ACCOUNTABILITY AC1: We update and examine our AI governance policies regularly to handle new issues with responsibility AC2: I have established mechanisms to address and rectify errors made by AI systems AC3: Our AI governance framework includes accountability measures that align with regulatory requirements	Binns (Binns, 2018)
TRANSPARENCY TR1: I assure you that the transparency level of AI is good TR2: I think that there is a risk that occurs with AI transparency TR3: I feel AI is transparent in decision-making in an organization	Cheong (Cheong, 2024b)
SOCIAL INNOVATION SI1: I believe that the AI governance framework includes social values in my organization's design and execution SI2: I expect AI governance frameworks to be improved to incorporate social innovation more effectively SI3: I believe collaborating AI with external organizations helps drive social innovation SI4: I believe we need governance policies that better include social innovation principles in AI frameworks	Brynjolfsson & McAfee (Brynjolfsson and Mcafee, 2017)
DECISION MAKING DM1: I expect that some improvement in decision-making is needed in my organization DM2: I believe the AI system's judgments to be helpful DM3: I feel the decision-making ability of AI is accurate DM4: I feel that my organization may address conflict with AI decision-making and human judgment	Sherry Colbourn and George (Martín, 2017)

Source(s): Table by authors

factor indeterminacy – it is better suited for understanding complicated interactions. It examines whether the suggested hypotheses are validated and how well the measurements connect to each construct at the same time. It functions effectively with small sample sizes and theoretical testing.

4. Result

4.1 Measurement model

In structural equation modelling (SEM), the **inner model** refers to the part of the model that specifies the associations between latent variables (constructs). This model represents the hypothesised structural relationships among these latent variables, often depicted as arrows connecting different constructs. The study assessed the reliability and validity of indicators using the inner model. For internal consistency of indicators (construct reliability), the composite reliability (CR) and Cronbach's alpha (CA) analyses were conducted. Convergent

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and discriminant validity have been employed to achieve construct validity. Convergent validity was verified using the extracted average variance. Table 3 demonstrates that the study instrument has outstanding validity and reliability, as CA, CR and factor loading values were all more than the threshold value of 0.70. For convergent validity, the average variance extracted was more than 0.50, indicating good validity.

Hair *et al.*, (2017), defined discriminant validity as "the degree to which a construct is distinct from other constructs". Measures of discriminant validity include the HTMT ratio of correlations and the Fornell–Larcker criteria. A variable should have a square root of the Fornell and Larcker correlation of its AVE; in the model, it is larger than the relationship with the other variables. Henseler *et al.*, (2015) proposed the heterotrait-monotrait (HTMT) ratio to

Table 3. Reliability and validity

Measures	Items	Constructs	F_rL	∝	C_r	AVE
Autonomy (AU)	AU1	I feel that the autonomy level of AI in decision-making increases	0.835	0.793	0.794	0.563
	AU2	I accept that autonomy in AI governance helps us make decisions faster	0.843			
	AU3	I think granting autonomy to AI systems enhances the efficiency of our decision-making	0.804			
Transparency (TR)	TR1	I assure you that the transparency level of AI is good	0.854	0.810	0.812	0.591
	TR2	I think that there is a risk that occurs with AI transparency	0.800			
	TR3	I feel AI is transparent in decision-making in an organization	0.858			
Accountability (AC)	AC1	We regularly review and update our AI governance policies to address emerging accountability challenges	0.870	0.850	0.851	0.656
	AC2	I have established mechanisms to address and rectify errors made by AI systems	0.877			
	AC3	Our AI governance framework includes accountability measures that align with regulatory requirements	0.877			
Social Innovation (SI)	SI1	I believe that the AI governance framework includes social values in my organization's design and execution	0.945	0.923	0.926	0.761
	SI2	I expect AI governance frameworks to be improved to incorporate social innovation more effectively	0.870			
	SI3	I believe collaborating AI with external organizations helps drive social innovation	0.866			
	SI4	I believe we need governance policies that better include social innovation principles in AI frameworks	0.862			
Decision Making (DM)	DM1	I expect that some improvement in decision-making is needed in my organization	0.947	0.925	0.929	0.767
	DM2	I believe the AI system's judgements are helpful	0.855			
	DM3	I feel the decision-making ability of AI is accurate	0.873			
	DM4	I feel that my organization may address conflict with AI decision-making and human judgment	0.875			

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handle discriminant validity issues. The HTMT threshold is either 0.85 or 0.90. The requirements for the Fornell–Larcker criterion of indicators (Table 4) in the evaluation of validity for discrimination were satisfied. Using the HTMT ratio displayed in Table 4, the alternative method of evaluating discriminant validity was less than 0.90. Discriminant validity was therefore attained. The various measurement model parameters are displayed in Figure 3.

The model fitness assessment, as depicted in Table 5, indicates that the proposed model fits the data exceptionally well across various metrics. All indices fall within acceptable ranges, indicating a strong match between the proposed model and the observed data. The CMIN/DF ratio, which measures the goodness of fit by comparing the Chi-square value to the degrees of freedom, stands at 1.407 is well below the recommended cut-off of 2, suggesting a good fit. The Normed Fit Index (NFI), Relative Fit Index (RFI), Incremental Fit Index (IFI), Tucker–Lewis Index (TLI) and Comparative Fit Index (CFI), with values of 0.983, 0.978, 0.995, 0.994

Table 4. Discriminant validity (HTMT ratio and Fornell–Larker criteria)

	Fornell and Larker criterion					HTMT ratio				
	AU	TR	AC	SI	DM	AU	TR	AC	SI	DM
AU	0.75									
TR	0.387	0.768				0.854				
AC	0.104	0.157	0.81			0.745	0.617			
SI	0.095	0.096	0.014	0.872		0.732	0.713	0.637		
DM	0.137	0.072	0.031	0.373	0.876	0.766	0.604	0.586	0.685	

Source(s): Table by authors

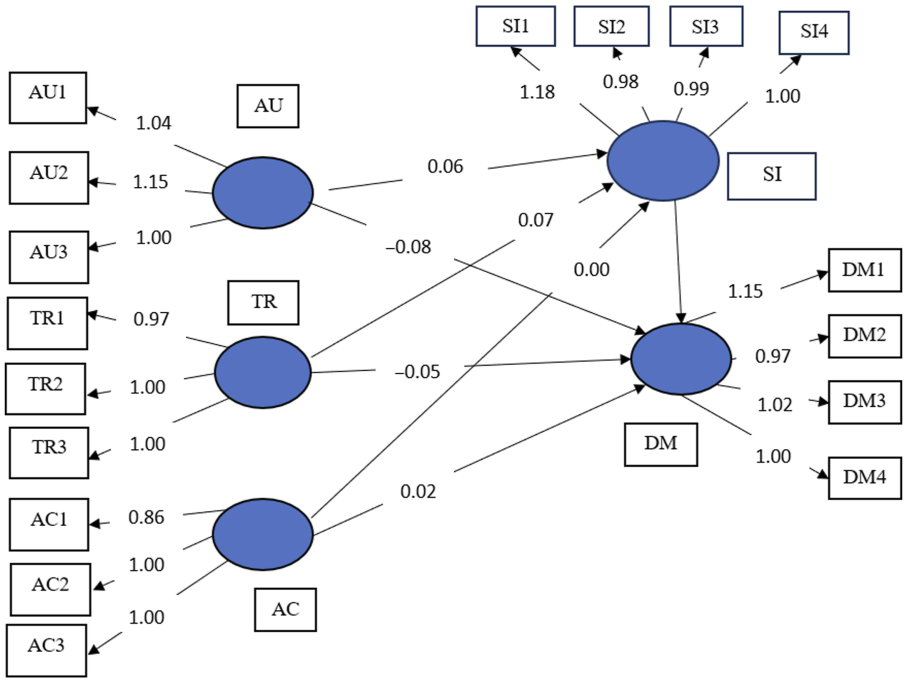


Figure 3. Measurement model of the study. Source: Figure by authors

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Table 5. Model fit indices

Fit indices	Recommended values	Obtained value
CMIN/DF	<2	1.407
NFI	>0.90	0.983
RFI	>0.90	0.978
IFI	>0.90	0.995
TLI	>0.90	0.994
CFI	>0.90	0.995
RMSEA	<0.08	0.025

Source(s): Table by authors

and 0.995, respectively, are above the recommended threshold of 0.90, indicating excellent incremental fit. Finally, the Root Mean Square Error of Approximation (RMSEA) yields a value of 0.025, which is well below the recommended cut-off of 0.08, suggesting a very good approximation of the model to the data, further confirming the model's adequacy in explaining the observed data.

4.2 Structural model

After the validity and reliability of the measurement model were well-known, the structural model was evaluated for hypothesis testing. To respond to related study aims and research issues, by using a structural model, the hypotheses were investigated. Hair *et al.* (2014) affirmed that the structural model in PLS-SEM is assessed in critical criteria, such as the significance of the path coefficients, coefficient determination (R^2), the effect size (F^2) and predictive relevance (Q^2). Figure 4 shows various parameters of the structural model.

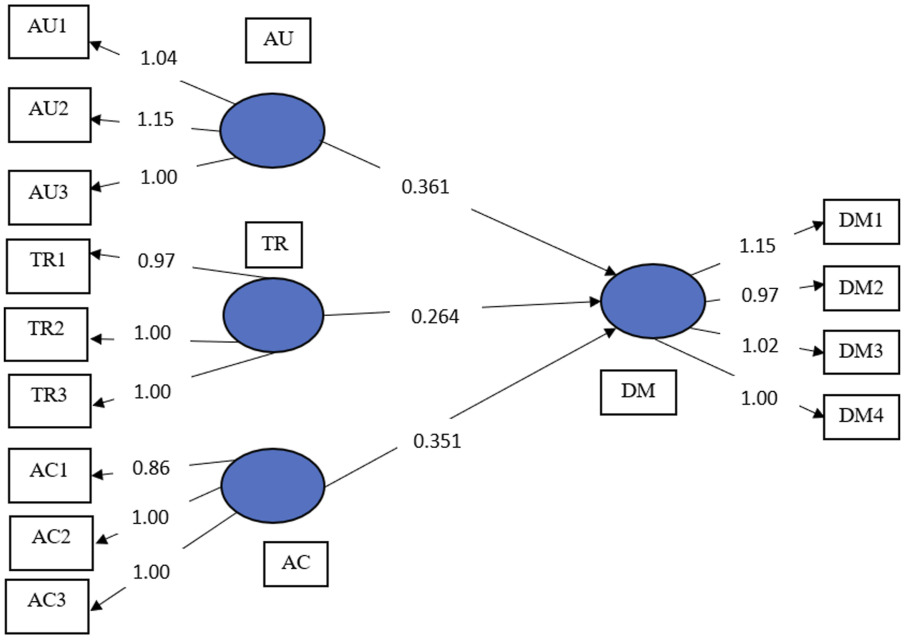


Figure 4. Structural model of the study. Source: Figure by authors

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4.2.1 Path coefficient. The structural model was assessed using R2 estimations, coefficients for paths (β-value) and thresholds for significance (t statistic). The strength of the association between the independent and dependent factors is shown by the path loadings, which can be understood as standardized regression coefficients. Since the *p*-values were close to zero (less than 0.05), all of the hypotheses were accepted. Table 6 and Figure 3 demonstrate the acceptance of every hypothesis.

According to hypothesis H1, decision-making is directly influenced by autonomy. The results of this hypothesis analysis indicate that the hypothesis is accepted: the beta value is 0.361, the t-value is 4.594, and the *p*-value is 0.001. As a result, autonomy greatly influences decision-making.

Based on hypothesis H2, decision-making is directly influenced by accountability. The results of this analysis show that the *p*-value is 0.004, the t-value is 3.264 and the beta value is 0.351. This indicates that the theory is getting traction. Accountability, therefore, has a big influence on how decisions are made. Consequently, hypothesis H3: decision-making is influenced by transparency. The outcomes of this hypothesis analysis specify that the hypothesis is being accepted: the beta value is 0.264, the *T* value is 4.732 and the p-score is 0.000. Decision-making is thus significantly impacted by transparency.

4.3 Moderation analysis

The research purpose was to inspect the moderating effect of social innovation on the relationships of AI governance (autonomy, accountability and transparency). Moderation analysis enables the investigation of moderators that intervene in the associations between endogenous predictors and an exogenous construct (Iacobucci *et al.*, 2007). When a moderator is present, a predictor's influence on exogenous constructs changes in strength; if not, there is no change. Table 7 H4 shows the moderating effect of social innovation on AI governance (autonomy, accountability and transparency) and decision-making. From Table 7, the value of beta is −0.055, the value of *t* is 4.321, and the p-score is 0.003. Thus, the hypothesis analysis shows that social innovation dampens the positive association between AI_GR and DM. Figure 5 shows the moderating analysis graph with decision-making on the x-axis and AI_GR on the y-axis.

4.4 PLS-prediction for prognosis of data

Shmueli *et al.*, (2019) suggested a state-of-the-art prediction approach in PLS-SEM through PLS prediction. The PLS prediction method forecasts fresh data using a holdout sample-based

Table 6. Path coefficient and hypothesis

Hypothesis	Paths	Beta	*t*-statistics	*P* values	Lower	Upper	Decision
H_1	AU → DM	0.361	4.594	0.001	0.167	0.458	Accepted
H_2	AC → DM	0.351	3.264	0.004	0.025	0.245	Accepted
H_3	TR → DM	0.264	4.732	0.000	0.192	0.364	Accepted

Source(s): Table by authors

Table 7. Moderation role of social innovation

Hypothesis	Paths	β	*t*-statistics	*P*	Lower	Upper	Outcome
H_4	AI-GR → SI → DM	−0.055	4.321	0.003	0.432	0.657	Accepted

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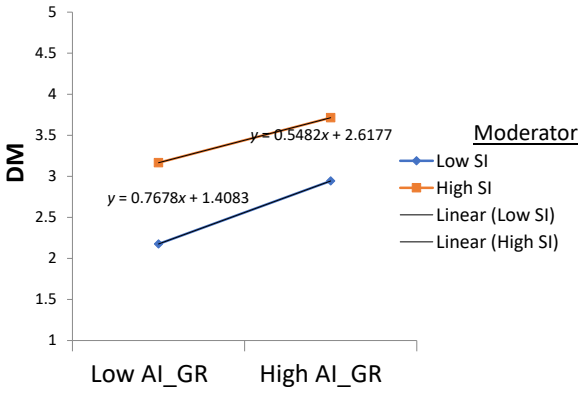


Figure 5. Moderating analysis. Source: Figure by authors

procedure. The PLS prediction technique was employed in this study to produce a case-level prognosis at the dependent construct level. Table 8 demonstrates that there is substantial predictive power for all endogenous components related to mental anguish and fear of losing business. Particularly, the Q^2 predicted values in the PLS model perform better than the Q^2 values > 0 in the linear model (LM). In contrast, the PLS model's mean absolute error and root mean squared error values are all less than the LM values. It follows that this conceptual framework has a high degree of predictability.

5. Conclusion and discussion

AI governance in organizational decision-making plays a pivotal role in ensuring the effective and ethical use of AI technologies. Balancing autonomy, accountability and transparency is critical for organizations that rely on AI to improve decision-making efficiency and outcomes.

Balanced autonomy, accountability and transparency are intuitively important in an age where human interaction and decision-making processes are increasingly mediated by AI systems, but are often hard to grasp and exceedingly difficult to implement, both in light of the intrinsically opaque nature of many AI systems (Ananny and Crawford, 2018) and empirical research has shown that too much transparency can have unintended side effects such as algorithmic disillusionment.

This research indicates that, in comparison with the hypothesis (H1), it disclosed a direct correlation between autonomy and the decision-making process of an organization. This result is consistent with a recent study by Laitinen *et al*. (Laitinen and Sahlgren, 2021), which also found that the Balanced Autonomy has a direct effect on the organization's decision-making process.

From this study, the H2 indicates a positive relationship between transparency in decision-making. The existing research by Yu and Li (2022) investigated how the transparency of AI decision-making influences human trust in AI systems. The study also looked at the cognitive and affective aspects of how people's confidence in AI is impacted by transparency in AI making decisions. The study discovered that the association between AI making decisions transparency and trust was mediated by employees' perceptions of openness, efficacy and discomfort with AI. Both studies demonstrate that transparency plays an important role in the decision-making process, which tries to build trust among chronic disease-affected elderly patients.

On the other hand, the significant value for H3 shows that accountability has a sustainable influence on an organization's decision-making process. The results of this study align with the

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Table 8. PLS-prediction for prognosis of data

	PLS-SEM				LM				PLS-LM			
Indicator	RMSE	MAE	MAPE	Q2	RMSE	MAE	MAPE	Q2 predict	RMSE	MAE	MAPE	Q2
AU1	0.786	0.626	22.31	0.455	0.790	0.634	23.142	0.432	−0.04	−0.06	−0.02	0.23
AU2	0.710	0.579	0.649	0.497	0.724	0.588	21.022	0.477	−0.08	−0.08	−0.09	0.02
AU3	0.719	0.586	21.14	0.501	0.720	0.598	21.431	0.495	−0.09	−0.09	−0.02	0.06
TR1	0.679	0.543	19.69	0.527	0.695	0.553	19.948	0.485	−0.04	−0.03	−0.05	0.04
TR2	0.689	0.540	20.27	0.500	0.690	0.543	21.160	0.481	−0.03	−0.04	−0.06	0.19
TR3	0.710	0.531	19.86	0.267	0.718	0.541	20.156	0.261	−0.06	−0.03	−0.07	0.06
AC1	0.825	0.640	23.42	0.469	0.830	0.657	23.562	0.455	−0.02	−0.06	−0.04	0.01
AC2	0.825	0.622	24.79	0.462	0.839	0.649	25.328	0.431	−0.09	−0.02	−0.04	0.09
AC3	0.784	0.625	23.22	0.495	0.780	0.631	23.328	0.448	−0.07	−0.09	−0.08	0.05
SI1	0.755	0.575	22.16	0.503	0.770	0.586	22.791	0.456	−0.04	−0.02	−0.09	0.03
SI2	0.720	0.539	21.20	0.497	0.732	0.541	20.919	0.486	−0.03	−0.05	−0.04	0.07
SI3	0.722	0.530	20.67	0.468	0.737	0.538	24.163	0.476	−0.02	−0.06	−0.03	0.02
SI4	0.802	0.623	23.51	0.493	0.810	22.79	22.523	0.476	−0.05	−0.07	−0.06	0.03
DM1	0.763	0.590	21.94	0.465	0.770	22.57	22.581	0.438	−0.06	−0.04	−0.02	0.01
DM2	0.759	0.597	22.30	0.490	0.770	24.16	0.517	0.495	−0.54	−0.05	−0.09	0.06
DM3	0.735	0.589	22.27	0.549	0.747	22.57	0.473	0.487	−0.04	−0.07	−0.01	0.01
DM4	0.680	0.509	20.35	0.549	0.685	21.99	0.487	0.543	−0.05	−0.08	−0.06	0.06

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research conducted by Lindkvist and Llewellyn (2003),Bokhari and Myeong (2022), who highlighted the importance of accountability and the decision-making process in an organization.

From H4, this study has found that AI governance has a positive impact on decision-making that is related to (Esmaeilzadeh, 2020) findings. The existing research from Keding and Meissner (2021) investigated the perception of overreliance on AI-augmented decision-making. The study discovered that using AI-based advising systems influences choosing behaviour and enhances the sense of decision quality.

In this research, it is found that social innovation (SI) dampens a positive relationship between AI_GR and DM, and social innovation acts as a moderating factor in AI governance and the process of decision-making. From the existing study, Bokhari and Myeong (2022) explored the direct and indirect links between AI, SI, and SDM. The study's analysis of a moderating factor's impact on decision-making added to the body of knowledge in the social research field. The study found that SI has a considerable positive mediation influence on the link between AI and making choices.

5.1 Implications

The results provide some implications that assigning the process of decision-making to AI governance leads to the improvement of accurate and time-consuming decisions. This research helps business owners and managers to incorporate AI into their organizations' processes of decision-making processes. A strong governance framework ensures that AI is used ethically, fostering trust among stakeholders, such as the general public, workers, regulators and consumers. Effective governance helps organizations comply with these legal requirements. It lowers the possibility of fines for noncompliance and harm to one's reputation. In this study, other variables like social influence (SI), organizational trust in AI (OTAI), human-AI collaboration (HAC) and ethical considerations (EC) can also be used for research.

5.1.1 Theoretical implications. When viewed through the lenses of principal-agent theory and stakeholder theory, AI governance within organizations has momentous theoretical implications. These theories help to comprehend the AI systems, as agents, interact with various stakeholders and organizational principals, and the potential complexities and disputes that arise. AI systems, specifically complex algorithms, can be difficult to explain and understand, creating information asymmetry between human principals and AI agents (Zuiderwijk *et al.*, 2021). This can make it challenging for principals to control and monitor the actions of the AI, leading to potential agency problems. The decision-making of AI can have enormous ethical implications, such as bias, fairness and privacy. (Miller, 2022) bring out the need for stakeholder theory to ensure that AI systems are used ethically and responsibly. Stakeholder theory emphasizes the significance of accountability and transparency in the decision-making processes of AI.

5.1.2 Practical implications. The organizations in AI governance require managers to focus on bias detection, ethical implementation, bias detection and continuous monitoring of AI systems. Managers must also prioritize comprehending the societal implications of AI and take accountability for its outcomes. While decision-making with autonomy, accountability and openness may be more efficient, there is a chance of bias or unforeseen repercussions. The company must make sure that ethical and legal bounds are respected when using AI governance in decision-making. It has been suggested that one approach to increase the accuracy and efficiency is to employ AI governance in conjunction with social innovation as a moderator. However, there is a substantial risk to secure decision-making due to the absence of transparency, autonomy and accountability surrounding this AI governance. The fact that AI decision-making systems are frequently trained on past data, which may contain biases and errors, is one of their most important problems. The creation and implementation of AI governance in processes of decision-making will be essential to guarantee that AI technologies

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are applied responsibly and ethically to benefit both individuals and the organization as a whole, as AI continues to permeate many sectors of organizations. By helping managers and company owners comprehend the process of decision-making of AI capabilities, AI governance may support decision-making systems and supervision.

5.2 Limitations

This research has certain limitations. As the research is based on a quantitative study, it doesn't include a qualitative study. In the future, qualitative-based studies can be used in this research. There is no universal standard for AI governance across industries or regions, making it difficult to ensure consistent ethical practices. In this study, only business owners and managers of the IT sector from India were chosen. Additionally, respondents from around the world can be chosen to get more information. Furthermore, in future studies, AI governance can encompass principles such as transparency, balanced autonomy and accountability in an organization for an accurate decision-making process for managers and business owners. This concentrates on the following areas: assessing the risks associated with an organization using AI in its decision-making process; assessing how AI-powered governance can increase employer fulfilment; determining AI risks and guidelines and incorporating them into a conceptual framework for AI governance and analysing the obstacles to and facilitators of implementing the use of AI governance in the process of decision-making. It gets harder to comprehend the logic underlying AI systems' judgments as they get more sophisticated. Therefore, organizations must prioritize explainability and transparency in their AI systems, providing insight into how the systems function and arrive at their conclusions.

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